



DEVELOPMENTAL IMPACT FEE ANNUAL REPORT

City of Scotts Valley

For the Fiscal Year Ending June 30, 2025

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SUMMARY & BACKGROUND

Development Impact Fees are fees imposed by local governments on new development projects to finance the acquisition, construction, and improvement of public facilities and infrastructure needed to serve those projects. California state law requires local agencies to prepare a report on the status of their Development Impact Fee (DIF) program on an annual basis and make additional findings every fifth year. This report meets the legal requirements for Fiscal Year (FY) 24-25 (July 1, 2024 through June 30, 2025).

The City of Scotts Valley (City) first established its DIF Program on January 16, 1991, with the adoption of Ordinance No. 143. The following impact fees were established and to be imposed on the issuance of all building permits for development within the City of Scotts Valley to finance the cost of the following categories of public facilities and improvements required by new development:

Developmental Impact Fee	Description	Fund
Storm Drainage Facilities	For payment of the actual or estimated costs of constructing and improving the storm drain facilities within the city, including any required acquisition of land.	007
Streets & Thoroughfares	For payment of the actual or estimated costs of the design, upgrading or improvement of the traffic network, including any required acquisition of land.	008
Parks & Recreation	For payment of the actual or estimated costs of constructing and improving the park and recreation facilities within the city, including any required acquisition of land, as well as grading, irrigation, and turfing costs associated therewith.	009
Wastewater Treatment Facilities	For payment of the actual or estimated costs of constructing and improving the sewage treatment facilities within the city, including any required acquisition of land.	012
General Facilities & Equipment	For payment of the actual or estimated costs of constructing and improving the general municipal facilities within the city, including any required acquisition of land.	021
Law Enforcement Facilities & Equipment	For payment of the actual or estimated costs of law enforcement facilities, equipment, and training, including any required acquisition of land.	027
Library Facilities	For payment of the actual or estimated costs of constructing and improving the library facilities within the city, including any required acquisition of land.	086

REQUIREMENTS OF THE MITIGATION FEE ACT (AB1600)

Assembly Bill (AB) 1600, commonly known as the Mitigation Fee Act, was enacted by the state of California in 1987 and created Section 66000 et. seq. of the Government Code and was amended by AB518 and Senate Bill (SB) 1693. AB1600 requires the city to report fee information annually and every fifth year. Within 180 days after the last day of each fiscal year, the City must make available the following information from the prior fiscal year:

1. Brief description of the type of fee in the account or fund.
2. Amount of the fee.
3. Beginning and ending balance in the account or fund.
4. Amount of fees collected, and the interest earned during the previous year.
5. Identification of each public improvement for which fees were expended and the amount of expenditures, including the total percentage of the cost of the public improvement that was funded with fees.
6. An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement and the public improvement remains incomplete.
7. Description of each interfund transfer or loan made from the account, including the public improvement on which the transferred or loaned fees will be expended, and when each loan will be repaid and the rate of interest the account will receive on the loan.
8. Identification of any refunds made once determined that sufficient monies have been collected to fund fee-related projects.

For the fifth fiscal year following the first deposit into the account or fund, and every five years thereafter, the City must make the following findings with respect to any remaining funds in the fee account, regardless of whether those funds are committed or uncommitted:

1. Identification of the purpose to which the fees are to be put.
2. Demonstrate a reasonable relationship between the fee and the purpose for which it is charged.
3. Identification of all sources and amounts of funding anticipated to complete financing in incomplete improvements identified as part of the City's annual report.
4. Identification of the approximate dates on which the funding referred to in Requirement 3 is expected to be deposited into the appropriate account or fund.

The City must make this information available for public review and must present it at the next regularly scheduled public meeting no less than 15 days after this information is made available to the public. This report is intended to satisfy the annual reporting requirements for FY 24-25. The City previously completed a five-year report in FY 22-23.

ANNUAL REPORT

The following section provides information necessary to meet the annual reporting legal requirements for each impact fee fund. This includes a brief description of the fee, the amount of the fee, the beginning and ending balances, fee revenues collected, interest earned, and the expenditures on each project including the percentage that was funded with fees. It also includes a table summary of whether sufficient funds have been identified to complete future projects and the approximate date by which the construction of the public improvement will commence if sufficient funds have been identified. Any loans are also identified as well as any refunds from the account.

FUND 007 – STORM DRAINAGE FACILITIES FEE

This fee is established for payment of the actual or estimated costs of constructing and improving the storm drainage, including acquisition of land. It assures that each new development or expansion of use pays its fair share of the West Branch-Carbonera Creek, Carbonera Creek, Camp Evers Tributary, and Bean Creek improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

Residential or commercial per impervious square foot

Carbonero Creek	\$	0.31
West Branch	\$	0.28
Camp Evers Tributary	\$	0.14
Bean Creek	\$	0.19

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2024		\$	106,765
Impact Fees Collected	\$	31,863	
Other Revenue/Transfers			
Interest Earned		5,368	
Total Source of Funds		\$	37,232
Administrative		(49)	
Total Expenses		\$	(49)
Fund Balance at 6/30/2025		\$	143,947

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Storm Drain Master Plan Update	FY 2026/27	\$ 100,000

FUND 008 – STREETS & THOROUGHFARES FEE

This fee is established for payment of the actual or estimated costs of the design, upgrading or improvement of the traffic network, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of streets improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential or Commercial per unit</u>	
Mountain (R-MT-5)	\$ 7,115.00
Rural (R-R-2.5)	\$ 7,115.00
Estate (R-1-40)	\$ 7,115.00
Low Density (R-1-20)	\$ 7,115.00
Single Family (R-1-10)	\$ 7,115.00
Two Family (R-M-6 & R-M-8)	\$ 4,222.00
Multiple Family (R-H)	\$ 4,222.00
building) (C-S, C-SC)	\$ 14.15
building) (I-L, I-RD)	\$ 14.15
Hotel (per room)	\$ 4,268.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2024		\$ 1,047,069
Impact Fees	\$ 79,735	
Other Revenue/Transfers		
Interest	50,486	
Total Revenue		\$ 130,221
Administrative	(454)	
Total Expenses		\$ (454)
Fund Balance at 6/30/2025		\$ 1,176,836

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Active Transportation Plan Projects	Unscheduled	Under Development
Traffic Signal Upgrade	FY 2027/28 & FY2029/30	\$ 500,000

FUND 009 – PARKS & RECREATION FACILITIES FEE

This fee is established for payment of the actual or estimated costs of constructing and improving the park facilities within the City, including acquisition of land. It assures that each new development or expansion of use pays its fair share of park development and acquisition needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential per unit</u>	
Mountain (R-MT-5)	\$ 12,636.00
Rural (R-R-2.5)	\$ 12,636.00
Estate (R-1-40)	\$ 12,636.00
Low Density (R-1-20)	\$ 12,636.00
Single Family Detached (R-1-10)	\$ 12,636.00
Single Family Attached (R-1-10)	\$ 9,777.00
Two Family (R-M-6 & R-M-8)	\$ 9,839.00
Multiple Family (R-H)	\$ 6,316.00
Mobile Homes and Second Unit	\$ 6,568.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2024		\$ 1,571,210
Impact Fees	\$ 139,734	
Other Revenue/Transfers		
Interest	75,949	
Total Revenue		\$ 215,683
Administrative	(684)	
Total Expenses		\$ (684)
Fund Balance at 6/30/2025		\$ 1,786,209

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Al Shugart Park Construction	FY 2025/26 & 2026/27	\$ 2,654,863

FUND 012 – WASTEWATER TREATMENT FACILITIES FEE

This fee is established for the actual or estimated costs of constructing or improving the sewage treatment facilities within the City, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of wastewater facility improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

Residential per unit		
Mountain (R-MT-5)	\$	7,548.00
Rural (R-R-2.5)	\$	7,548.00
Estate (R-1-40)	\$	7,548.00
Low Density (R-1-20)	\$	7,548.00
Single Family (R-1-10)	\$	7,548.00
Two Family (R-M-6 & R-M-8)	\$	5,461.00
Multiple Family (R-H)	\$	5,461.00
Commercial (per gallon, per day) (C-S, C-SC)	\$	32.12
Industrial (per gallon, per day) (I-L, I-RD)	\$	32.12

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2024		\$	338,022
Impact Fees	\$	108,559	
Other Revenue/Transfers			
Interest		2,452	
Total Revenue		\$	111,011
Administrative	\$	(12,258)	
Total Expenses		\$	(12,258)
Fund Balance at 6/30/2025		\$	436,775

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Wastewater Treatment Plan		
Master Plan	FY 2025/26	\$ 350,000
MBR Upgrade	FY 2025/26	\$ 250,000
Collection System Pipeline		
Upgrades	FY 2025/26 - 2027/28	\$ 900,000

FUND 021 – GENERAL FACILITIES & EQUIPMENT FEE

This fee is established for payment of the actual or estimated costs of constructing or improving the general municipal facilities within the City, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of the corporation yard, renovation of Civic Center, City maintenance fleet expansion, and Scotts Valley Senior Center improvements needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential or Commercial per unit</u>		
Mountain (R-MT-5)	\$	540.00
Rural (R-R-2.5)	\$	540.00
Estate (R-1-40)	\$	540.00
Low Density (R-1-20)	\$	540.00
Single Family (R-1-10)	\$	540.00
Two Family (R-M-6 & R-M-8)	\$	540.00
Multiple Family (R-H)	\$	540.00
Commercial (per acre) (C-S, C-SC)	\$	1,425.00
Industrial (per acre) (I-L, I-RD)	\$	1,376.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2024		\$	(5,997)
Impact Fees	\$	6,349	
Other Revenue/Transfers			
Interest		5,901	
Total Revenue		\$	12,250
Administrative		(51)	
Total Expenses		\$	(51)
Fund Balance at 6/30/2025		\$	6,202

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Public Works Facility Improvements	FY 2026/27	Under Development

FUND 027 – LAW ENFORCEMENT FACILITIES & EQUIPMENT FEE

The Law Enforcement Facilities & Equipment fee was established for payment of the actual or estimated costs of law enforcement facilities, equipment, and training, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of the construction of a new police facility, equipment, and training for additional officers and dispatchers, police fleet expansion, and records management upgrade needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential or Commercial per unit</u>	
Mountain (R-MT-5)	\$ 1,249.00
Rural (R-R-2.5)	\$ 1,249.00
Estate (R-1-40)	\$ 1,249.00
Low Density (R-1-20)	\$ 1,249.00
Single Family (R-1-10)	\$ 1,249.00
Two Family (R-M-6 & R-M-8)	\$ 1,249.00
Multiple Family (R-H)	\$ 1,249.00
Commercial (per acre) (C-S, C-SC)	\$ 28,659.00
Industrial (per Acre) (I-L, I-RD)	\$ 28,659.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2024		\$ 377,709
Impact Fees	\$ 14,684	
Other Revenue/Transfers		
Interest	18,077	
Total Revenue		\$ 32,761
Administrative	(162)	
Total Expenses		\$ (162)
Fund Balance at 6/30/2025		\$ 410,308

Anticipated Capital Projects

Project	Fiscal Year	Projected Cost
Police Station Locker Room	FY 2026/27	\$ 233,648
Police Station Armory	FY 2026/27	\$ 70,000
Universal Power Supply	FY 2026/27	\$ 80,000

FUND 086 – LIBRARY FACILITIES FEE

This fee is established for payment of the actual or estimated costs of constructing and improving the library facilities within the City, including any required acquisition of land. It assures that each new development or expansion of use pays its fair share of a tier II library upgrade needed to accommodate the cumulative impacts related to capital costs. The fees are as follows:

<u>Residential per unit</u>	
Mountain (R-MT-5)	\$ 1,530.00
Rural (R-R-2.5)	\$ 1,436.00
Estate (R-1-40)	\$ 1,342.00
Low Density (R-1-20)	\$ 1,200.00
Single Family (R-1-10)	\$ 1,058.00
Two Family (R-M-6 & R-M-8)	\$ 1,058.00
Multiple Family (R-H)	\$ 918.00

Sources and amounts of funding anticipated to complete financing of incomplete improvements:

Fund Balance at 7/1/2024		\$ 191,329
Impact Fees	\$ 13,527	
Other Revenue/Transfers		
Interest	9,217	
Total Revenue		\$ 22,744
Administrative	(83)	
Total Expenses		\$ (83)
Fund Balance at 6/30/2025		\$ 213,991

Anticipated Capital Projects

<u>Project</u>	<u>Fiscal Year</u>	<u>Projected Cost</u>
Building Improvements	Unscheduled	Under Development

FUND SUMMARY

The following table provides an accounting of each impact fee and a total impact fee account balance. The table summarizes the starting fund balance, the amount of fees collected, the interest earned, the total expenditures, and the fiscal year ending fund balance.



DEVELOPMENT IMPACT FEE FUND SUMMARY									
Description	Fund No.	Storm Drainage	Streets & Thoroughfares	Parks & Recreation	Wastewater Treatment	General Facilities & Equipment	Law Enforcement Facilities & Equipment	Library Facilities	
		007	008	009	012	021	027	086	
Starting Balance									
As of July 1, 2024	\$	106,765	\$ 1,047,069	\$ 1,571,210	\$ 338,022	\$ (5,997)	\$ 377,709	\$ 191,329	
REVENUES									
Impact Fees	\$	31,863	\$ 79,735	\$ 139,734	\$ 108,559	\$ 6,349	\$ 14,684	\$ 13,527	
Grants	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Other Revenue	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Interest Earnings	\$	5,368	\$ 50,486	\$ 75,949	\$ 2,452	\$ 5,901	\$ 18,077	\$ 9,217	
Total Revenues	\$	37,232	\$ 130,221	\$ 215,683	\$ 111,011	\$ 12,250	\$ 32,761	\$ 22,744	
EXPENDITURES									
Project Expenditures	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Administrative Expenditures	\$	(49)	\$ (454)	\$ (684)	\$ (12,258)	\$ (51)	\$ (162)	\$ (83)	
Total Expenditures	\$	(49)	\$ (454)	\$ (684)	\$ (12,258)	\$ (51)	\$ (162)	\$ (83)	
Transfers in	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Transfers Out	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Net Transfer/Advances	\$	-	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	
Ending Balance									
As of June 30, 2025	\$	143,947	\$ 1,176,836	\$ 1,786,209	\$ 436,775	\$ 6,202	\$ 410,308	\$ 213,991	